That’s why we recommend that you assume your home would be a long-term rental, not a short-term one, in the event that you move out. Once you have a comprehensive understanding of your property’s income potential as a traditional long-term rental, you can go the extra mile to see whether you have the option for a short-term rental as well.

The analysis here is similar to the one above, but with a few important changes:

Nightly rate x number of nights you are likely to book
– **Mortgage payment**
– **Cost of utilities**
– **Cleaning and management fees**
– **Maintenance/CapEx allowance**

Cash flow

Finding that first number—nightly rate multiplied by the number of nights you’re likely to book—might seem intimidating at first glance. However, the platforms that host short-term rentals often have a large amount of data that can help you easily come up with estimates. (It’s their nice way of encouraging you to list your property with them!)

In most cases, these numbers will look significantly better than the numbers for a traditional rental. Make sure you do the research to understand what your home’s real income potential is as a short-term rental. If the cash flow is there and you have the time and skills to operate a short-term rental, you have a great potential alternative to a long-term rental.

However, be warned. Lots of people buy a loser of a stand-alone long-term rental just because they think the property has income potential as a short-term rental. Those same people will be in for a nasty shock down the line if they are unable to realize their rosy projections, and an even nastier shock if their city decides to crack down on Airbnbs.

HOUSE HACKING